Submission of Comments from the Global Intellectual Property Center (GIPC), U.S. Chamber of Commerce
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Attn: Mr. Sarang V. Damle
Deputy General Counsel
U.S. Copyright Office

Docket No. 2015-6: Software-Enabled Consumer Products Study

GIPC Software Comments

The U.S. Chamber of Commerce appreciates the opportunity to provide our comments on these important issues. We also appreciate the leadership of the U.S. Copyright Office in its thoughtful consideration of copyright policy issues and we support its efforts and desires for modernization so as to better serve businesses that produce valuable copyrighted works, businesses that help deliver those works to the public, and consumers who benefit from both.

The U.S. Chamber of Commerce is the world's largest business organization representing the interests of more than 3 million businesses of all sizes, sectors, and regions. Our members range from mom-and-pop shops and local chambers to leading industry associations and large corporations.

The Global Intellectual Property Center (GIPC) was established in 2007 as an affiliate of the U.S. Chamber of Commerce. Today, the GIPC is leading a worldwide effort to champion intellectual property rights and safeguard U.S. leadership in cutting-edge technologies as vital to creating jobs, saving lives, advancing global economic growth, and generating breakthrough solutions to global challenges.

I. Introduction

It is often said that copyright law affects Americans' everyday lives. If that is truer today than in the past, it is a consequence of the convenient availability and use of copyrighted works in more aspects of daily life than ever before. And a significant portion of the copyrighted works that help make people's lives better is software.

Without software a computer is inert -- it is the software that instructs the computer how to create an environment suitable to a human user, how to acquire and process data to return a desired result, and how to transmit and/or preserve data. At the origins of the industry, software operated general purpose computing devices almost exclusively. Over time, computers have been incorporated into the design and function of everything from airplanes and automobiles to kitchen appliances and toys to power plants and traffic lights.

Software improves all of those products. It makes them more efficient, safer, more effective and reliable, and helps all of us to be more productive. In short, software makes our lives better.

The software industry is also an innovative, valuable and growing part of the economy. In the first dozen years of the 21st Century, the commercial software industry *doubled* from $180 billion to $360 billion, and it now employs over 10 million people.[1] In the United States, software accounts for 3.2% of the entire GDP and exports of software and related services have grown by 9-10% every year since 2006.[2] Further, software accounted for over 15% of all U.S. labor productivity gains from 2004 to 2012.[3]

II. Responses to the Notice of Inquiry

A. Elements of Copyright Law Implicated by the Use of Software

The use of software may implicate the reproduction, distribution, and derivative rights of copyright.[4] In each case, Congress has addressed the scope of lawful activity in the absence of a license through specific provisions of the Copyright Act:

- Reproduction as an essential step in the utilization of the computer program is authorized by §117(a)(1);
- Reproduction for archival purposes is authorized by §117(a)(2);
- Reproduction under appropriate circumstances in the course of maintenance or repair of a machine is authorized by §117(c);

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[1] "Powering the Digital Economy," BSA | The Software Alliance (p. 3)(accessed at: http://www.bsa.org/~/media/Files/Policy/Trade/DTA_study_en.pdf).

[2] "The U.S. Software Industry: An Engine for Economic Growth and Employment," SIIA White Paper by Robert J. Shapiro (2014)(accessed at: http://www.siia.net/Admin/FileManagement.aspx/LinkClick.aspx?fileticket=ffCbUo5PyEM%3d&portalid=0).

[3] *Id.*

[4] For purposes of this submission, we consider only the copyright aspects of the computer code. Of course, many computer programs have elements of the display associated with those programs that may be copyrightable, and many computer programs include audiovisual elements that may be copyrightable as such. However, we consider that the nature of the questions in the Notice of Inquiry point to the copyright in the code and we limit our comments accordingly. We also use the terms "software" and computer program" interchangeably.

- Distribution of lawfully made copies is generally authorized by §109(a);
- Distribution for purposes of rental, lease, or lending are extensively, but not entirely, excluded from the foregoing by §109(b); and
- Reproduction and adaptation for purposes of creating interoperable computer programs were addressed by courts under the Fair Use doctrine codified in §107, and given tacit approval by Congress by the codification of judicial precedent in §1201(f).

In each case Congress has carefully calibrated the copyright law to accommodate the lawful use of software while also allowing the flexibility to develop innovative new products in an evolving marketplace. The results have been a resounding success.

This vibrant market of innovative products, and the many consumer benefits that flow from it, have developed in the context of our copyright system. This is an incredible success story. The goal of this study should be identifying the best way to preserve the conditions that have fostered this growth.

B. Software Licensing Models

Software is offered through a variety of models, designed to suit the needs of the customer. And, judging by the growth in the software marketplace, ever-expanding use and innovation in software, and the growth in the industry, these offerings are meeting the needs and desires of both consumers and developers.

Notwithstanding this empirical evidence of success, we are aware that some commentators have complained that software may be offered in the marketplace through a license rather than an outright sale. This licensing model, these commentators further complain, prevents the application of the First Sale doctrine, because the customer is not the "owner" of the particular copy of the software. From that they extrapolate that customers are unable to resell devices in which there is embedded licensed software. So, these commentators conclude, Congress should amend the Copyright Act to pre-empt otherwise legal and enforceable licensing terms and require all software to be sold outright. Their interpretation of the law is correct; their presumption of harm is not. And their proposed 'remedy' would be drastic and harmful.

There is scant (if any) real evidence that the distribution right in software is being invoked to inhibit the secondary market for consumer products. These claims are not consistent with the reality that such products are freely resold without complication from copyright law or licenses. If there is any problem, it remains hypothetical. Proposals to "solve" this non-existent problem would undermine certain business models and represent unprecedented and unwarranted interference in a marketplace vibrant with innovation and consumer choice.

Software developers and publishers are certainly copyright owners, but that in and of itself does not earn income. Software must serve a needed purpose, function well, and be offered on acceptable terms in order to become a successful product in the market. Companies that offer less than that will be quickly surpassed in a marketplace defined by robust innovation and competition. Thus, there are strong market incentives to ensure that software is offered to customers on terms they will accept. As the Notice of Inquiry recalls, the Copyright Office recognized this reality in its DMCA Section 104 Report.[5]

The Copyright Office should also not overlook the reality that, particularly in the business-to-business context, software licenses are commonly the subject of detailed and extensive negotiation between sophisticated parties, including circumstances in which the final product is destined for sale to the public. Contract pre-emption would introduce unnecessary and unproductive uncertainty into the marketplace.

It is equally important to resist any temptation to treat software in devices as deserving only second-class copyright protection. The software embedded in devices constitutes a copyrightable work and therefore deserves the full respect of the law. Moreover, there are many software-driven "devices" whose function involves the utilization of still other copyrightable works, from phone apps to entertainment systems found in cars or on board commercial aircraft, to karaoke machines. A weakening of the copyright law with regard to software in devices would also lead to significant adverse consequences for a wide range of copyrighted works, as there is no principled difference among them.

III. Conclusion

The software industry is a tremendous American success story. Our copyright system has played a critical role in the development of that industry and policymakers should strive to maintain the conditions that have generated so

[5] U.S. Copyright Office, DMCA Section 104 Report , pp. 162-64 (2001).

much benefit to our economy and our society. Complaints about the effects of licensing terms remain theoretical at best, and certainly do not justify upending a system that has worked so successfully.

GIPC thanks the Copyright Office for its work and for this opportunity to provide our views, and looks forward to continuing to work with the Copyright Office on this and other important issues progresses.